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Marketing Communications

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This reading contains links to online interactive illustrations and video, denoted by the icons above. To access these exercises, you will need a broadband internet connection. Verify that your browser meets the minimum technical requirements by visiting <http://hbsp.harvard.edu/tech-specs>.

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1 INTRODUCTION

Companies develop a *marketing communications strategy* by crafting and communicating the voice and story of their brands to consumers in a way that, ideally, will achieve marketing objectives. When managers craft the story line for a particular brand, they are creating a communications strategy that will be put to the test in the marketplace. Marketing communications translate the company's value proposition into compelling narratives that can establish, maintain, or modify a brand image in consumers' minds. They can entertain consumers or educate them; they can persuade consumers to purchase something new or remind them to repurchase. Creative narratives engage audiences, prompting consumers to think or feel something about the brand that induces them to action.

These brand narratives are delivered through a variety of channels, such as advertising, sales promotions, public relations, digital marketing, personal selling, and other promotional vehicles. Moreover, consumers themselves tell stories about brands, contributing to the narratives through word of mouth and social media. Current and potential customers are exposed to these communications as part of their daily lives, absorbing them, interacting with them, and, if the messaging is effective, responding to them by making a purchase and perhaps recommending the product to friends. Though in the past marketing managers were focused primarily on what message they wanted to deliver to consumers and which media channels to use, now they must be equally concerned about the messages consumers create on their own and spread to each other through social media.^a

By developing and executing marketing communications strategies, managers broadcast the value that their products or services deliver to consumers. The goal is to optimize *consumer engagement*—that is, the cognitive, emotional, and/or behavioral investment consumers make in positively interacting with a brand. Companies secure this all-important consumer engagement by developing and disseminating relevant communications that will resonate with consumers and, ultimately, increase sales.

We begin the reading with a description of marketing communications strategy, followed by a framework for designing strategies that will optimize consumer engagement. A thorough strategy is based on decisions related to what

^a We recommend pairing this reading with *Core Reading: Digital Marketing* (HBP No. 8224), which covers the material complexity of digital marketing and its influence on marketing communications in greater depth.

to say, how to say it, and to whom, where, and how often. In short, the strategy defines how to communicate in the most effective and efficient way.

The framework offers managers three broad phases for developing a marketing communications plan: strategic intent, strategic execution, and strategic impact. The reading explores these stages and the work that must be done within them—namely, the decisions regarding the 6Ms: *mission*, *market*, *message*, *media*, *money*, and *measurement*. Crafting such a plan ensures that coordinated and complementary messages are delivered in an ***integrated marketing communications (IMC)*** plan across all consumer touchpoints.

2 ESSENTIAL READING

2.1 Marketing Communications Strategy

The 6M model, summarized in **Exhibit 1**, provides a framework for the components of a comprehensive marketing communications strategy. Decisions about *mission* and *market* define the specific objectives of the communication and its audience. These two elements form the *strategic intent* of the marketing communications program. *Message* and *media* are decisions that sketch the story to be told and the storytelling arenas in which it will be delivered. These two elements capture the *strategic execution* of the marketing communications program. *Money* and *measurement* delineate the financial implications of the communication and how its return on investment will be assessed. These two elements define how much money will be spent and how the company will determine whether the spending is paying off. They embody the *strategic impact* that the campaign has in the marketplace.

EXHIBIT 1 The 6M Model of Marketing Communications



Source: Adapted from Harvard Business School, "Note on Marketing Strategy," HBS No. 598-061, by Robert J. Dolan. Copyright 1997 by the President and Fellows of Harvard College; all rights reserved.

Let's begin with a look at strategic intent and its two components.

2.2 Strategic Intent: Mission and Market

To establish the strategic intent of a marketing communications plan, managers need to (1) set an objective for the communication (mission), and (2) define the audience for the communication (market).

The goal of marketing communications, of course, almost always is to influence someone to buy a product or service. But before consumers can make a purchase, they must be made aware of a product's or service's existence and persuaded that it is the best solution for their needs. The mission of marketing communications can therefore range from facilitating that awareness to actually closing the deal—driving consumers who are aware of and predisposed to buy a particular product to a retail store, website, mobile app, or other point of purchase and helping them through the sale. (Because marketing communications encompasses personal selling, a salesperson's help in a store is considered part of a marketing communications plan.)

After a sale, communications are often used to reassure consumers that they have made the right choice. Marketing communications also can be sales-building, driving short-term sales, or brand-building, creating and sustaining the brand as a long-term asset to ensure the steady flow of future sales. Marketing communications can be *proactive*, working to further a company's business goals,

or they can be *reactive*—responding to communications that consumers initiate about the brand.

Accordingly, **Exhibit 2** offers some examples of how different types of marketing communications facilitate consumers' move through a five-stage process in their buying decisions. Advertising often serves as a trigger in the problem-recognition stage, reminding consumers of their needs or helping them identify problems they are encountering. Websites and in-store displays offer consumers important data about features and benefits to aid them in their search for solutions. Product brochures and salespeople help them organize this information so that they can effectively compare and contrast competing brands as they evaluate their solution alternatives. Sales promotions and in-store salespeople prompt consumers into making a purchase. Social media marketing allows consumers to intensify their connection to a brand after they buy it, while email marketing is often used to remind consumers to return for the next purchase. (For another framework of the buying process, see *Core Reading: Consumer Behavior and the Buying Process* [HBP No. 8167].)

Mission: Defining Communication Objectives

An integrated marketing communications plan often moves fluidly through the realms of thought, emotions, and motives, using different kinds of marketing communications to encourage consumers to think, feel, or do something as they progress through the decision-making process. Sometimes, evoking a strong emotion is enough to drive a purchase; at other times, consumers need to engage in intense cognition before they buy. Impulse buys often occur in the absence of significant emotion or cognition.

Understanding what will motivate a consumer to purchase helps marketers focus the mission of an integrated marketing communications plan. Some marketing communications channels, such as *personal selling* (in which knowledgeable salespeople foster personal relationships with potential buyers) evoke a *cognitive think response* by providing information that encourages consumers to consider the differences between products. Others, such as television advertising, provoke an *affective feel response* by telling stories that pull at consumers' heartstrings or appeal to their egos to stimulate emotions that draw them closer to the brand. Finally, some channels, such as search advertising and coupons, elicit a *behavioral do response* by motivating consumers with calls for action to find a product, purchase it, or tell others about it. These cognitive, affective, and behavioral responses prompt the movement of consumers along a series of steps in a purchase-decision journey.

EXHIBIT 2 The Role of Marketing Communications in the Decision-Making Process

Decision-Making Stage	Role of Marketing Communications
Problem recognition	Help identify new problems and needs and/or remind consumers of existing needs. Examples: • Advertising for Latisse eyelash treatment made women realize that they didn't have to live with "inadequate eyelashes." • Taco Bell's billboards remind drivers that they should stop for a break.
Information search	Make consumers aware of a product and educate them about its features and benefits. Examples: • Clinique's sales representatives call out to shoppers, inviting them to learn more about the brand's cosmetic products and to try them out at the counter. • Direct mail from an airline parts supplier provides detailed specifications and usage test results to Boeing's purchasing manager and engineers.
Evaluation of alternatives	Assist consumers in making comparisons among solution options. Examples: • Dell's website offers a comparison chart that allows shoppers to see the differences in features among models. • Progressive Insurance compares their rate quote with quotes from other insurance companies to ensure that customers can choose the best deal.
Purchase decision	Prompt consumers into making the purchase. Examples: • In-store signage and prominent end-aisle displays direct consumers to the newest Cheerios line extension. • A coupon in the newspaper encourages consumers to buy Yoplait yogurt this week instead of next.
Post-purchase assessment	Encourage product usage and make consumers feel good about their purchase decision. Examples: • Oral-B's print ads remind consumers to change the brush head on their electric toothbrush every three months. • Neiman Marcus sales associates mail thank you notes to customers, reaffirming their decision to patronize the U.S. retailer.

Some early marketing models used a funnel analogy to represent the main stages in a selling process—consumers’ journeys through the Think-Feel-Do process. For example, the ***hierarchy-of-effects*** model in **Exhibit 3** outlines six stages of marketing activities designed to incite customers to various Think-Feel-Do outcomes.¹ First, the company must grab consumers’ attention to make them aware of the product, competing in a crowded advertising environment to stand out. Second, the company must deliver information about the product’s features, benefits, and values so that consumers develop a set of associations that they relate to the product and/or brand. Third, the company must encourage a positive impression about the product or service in consumers’ hearts by forging emotional connections. Fourth, the company must help consumers generate a preference for the product and/or brand by favorably comparing it to other competitive products. Finally, the company must strengthen consumers’ preference so that it yields to *conviction*, the point at which they are convinced that the product and/or brand is the right one for them. The feeling of conviction must then be translated into the motivation to purchase, by means of a call for action that drives consumers to a point of sale.

EXHIBIT 3 The Hierarchy of Effects



Source: Adapted from Robert J. Lavidge and Gary A. Steiner, “A Model for Predictive Measurements of Advertising Effectiveness,” *Journal of Marketing* 25 (October 1961): 59–62.

The mental image of a funnel that becomes progressively narrower allowed marketers to envision consumers’ linear progression through the various stages. The shape of the funnel represents the fact that only a small portion of consumers who have engaged with the brand will be moved to action. A “leaky funnel,” one

in which high numbers of prospective customers fail to progress to the next stage, is costly and inefficient.

Contemporary models, on the other hand, reconceptualize the funnel analogy and relax its strict progression from awareness to purchase and its reliance on a Think-Feel-Do progression. Instead, they allow for variation in purchase journeys, depending on the type of consumer, product or service category, and purchase occasion. The stages are flexible and not necessarily sequential—sometimes, consumers purchase after a progression of thinking-feeling-doing activities, but sometimes they skip some of these steps or reorganize them into different patterns.² For example, when purchasing a computer, a Think-Feel-Do progression may dominate, but when purchasing perfume, some consumers may rely on their emotions as they respond to the perfume's scent and then decide to purchase it (Feel-Do). Or consumers may experience a product such as a new snack food through a free trial and then think about whether it is right for them, forming an emotional attachment to the product only after they have begun to use it on a daily basis (Do-Think-Feel). Impulse purchases, such as picking up a pack of gum at the supermarket checkout line, are often made without much thinking or feeling; here, the "Doing" dominates the journey.

Establishing the specific mission of any marketing communications, then, requires an understanding of consumers' position in the purchase journey. The marketer gains this understanding by identifying the stages that have already been completed and then determining what work is left to be done to move consumers through the remaining stages.

For example, the communication objectives for new products in new categories generally focus on creating awareness and suggesting situations where the product might be used. Consumers are often very good at avoiding marketing communications, especially in their initial consideration of product choices. To capture attention, therefore, marketing communications need to deliver engaging and useful content to consumers in convenient places at appropriate times. For example, Super Bowl ads often use humor to entertain a television audience prone to tuning out when the commercial block begins. *Search engine marketing*, serving up ads as a consumer browses for information online, is often the most effective place to capture consumers' attention with useful information just before the moment of purchase.

The objectives of marketing communications for established products that face powerful competitors might focus on communicating the differentiating features or benefits of a product, aiming to build knowledge or preference. Consumers are often aware of many brands in a product category, but they don't seriously consider all brands for purchase. Marketers need to understand, therefore, what makes consumers consider specific brands and what persuades them to buy those

brands. A deep understanding of consumer behavior is essential to recognizing the product features that customers most value or the benefits they most hope to obtain. These can then be highlighted in the communications narratives.

Setting the mission of a marketing communications plan outlines the job that needs to be accomplished. Some consumers, for example, may need to be made aware that they have a problem for which the market offers a solution. Other consumers may benefit from considering a new brand instead of defaulting to the brand that they have used for years. Others might need persuading through comparative information to choose one product over another, while other consumers might just need prompting to take the first step toward purchase.

Take, for example, Propecia's marketing communications challenge. Propecia, a drug therapy that hindered the development of hormones that deteriorated men's hair follicles, offered a solution for men's hair loss. At the time of its launch, Propecia's management team needed to achieve many marketing communications jobs. One was to convince men that male-pattern baldness was not inevitable and that a solution existed that could help them—hitting men at the top of the funnel. A second was to introduce men to the new product and brand and provide them with detailed information to explain how it addressed male-pattern baldness—assisting them with their information search. A third was to compare Propecia to Rogaine, the leading topical hair loss treatment on the market—helping men evaluate their marketplace options. A fourth was to call on primary-care doctors to introduce them to Propecia and encourage them to speak to their patients about hair loss—enlisting doctors as partners in the drive toward purchase. And a fifth was to encourage men experiencing hair loss to visit their doctors' offices to talk about their condition—moving them to action. All these jobs required different narratives working together in an integrated marketing communications plan. Public relations helped complete the first job. Direct-to-consumer advertising addressed the second and third. "Detailing" by a dedicated sales force (i.e., educating physicians about products so that they would want to prescribe the product) achieved the fourth, and direct marketing assisted with the fifth. The company used a blend of cognitive, emotional, and motivational appeals delivered across different promotional vehicles to move men to purchase.

We next examine the other half of strategic intent: for whom, exactly, is the marketing communications intended?

Market: Defining the Audience

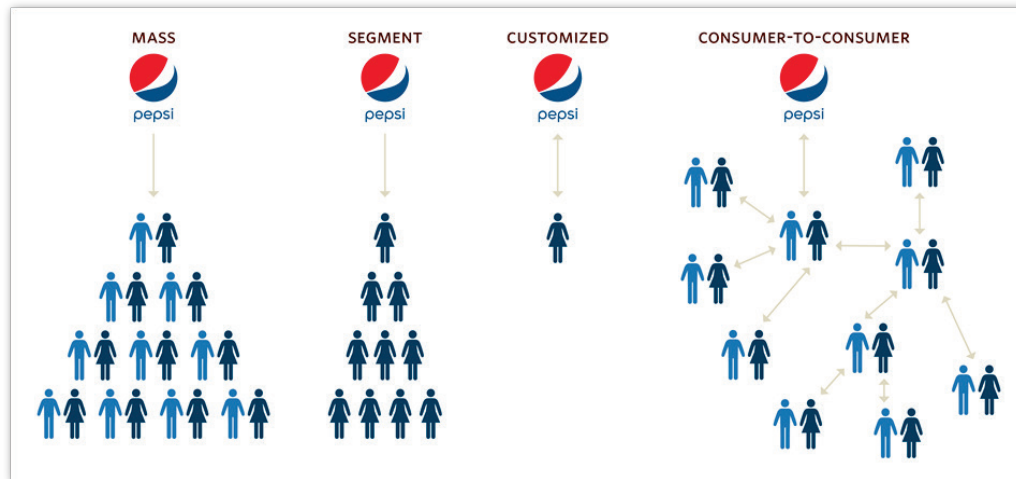
Marketing communications should be designed with a particular audience—the target market—in mind. Defining that audience well is a critical step in designing communications that will speak in ways that are resonant and relevant and to which potential customers will be receptive. The more precisely the audience is

defined, the better able managers are to choose the best story to tell and the right place in which to tell it.

Defining an audience well goes beyond identifying the demographic characteristics such as the age, gender, income, education level, or geography of its members. Psychographic information can help flesh out the day-to-day lives of consumers to aid with storytelling (the *who*). Understanding what the target market currently knows, believes, and feels about the brand and/or its competitors can illuminate attitudes that need to be changed, and details about the target market's category-relevant behavioral characteristics can define strategic objectives that outline the job to be accomplished (the *what*). Information about the audience's needs, preferences, and decision-making processes can provide insight into where and how marketing communications can most make an impact, clarifying both the triggers to and barriers against purchase (the *why* and *how*). Finally, data on shopping and media habits (the *where* and *when*) are essential for choosing promotional tactics and maximizing message placement.

In *Core Reading: Segmentation and Targeting* (HBP No. 8219), readers will find an outline of a process for identifying a firm's potential customers and deciding which of those customers the firm should pursue. This process should be applied for each marketing communications program to identify the specific target audience for that particular communication.

Exhibit 4 depicts various ways marketers attempt to address different audiences through mass marketing (offering one message to lots of heterogeneous consumers), segment marketing (offering one message to a homogeneous target market), customized marketing (offering a personalized message to each individual consumer), and consumer-to-consumer marketing (generating content that encourages consumers to talk to each other about the brand).

EXHIBIT 4 Addressing Audiences in Different Ways

Take, for example, marketing communications for a car brand. Some communications programs speak to the entire target market that the firm is pursuing (*mass marketing*), such as a car advertisement on a highway billboard that is seen by all drivers. Other programs choose subsegments within the target market to address in a focused manner (*segment marketing*), such as a luxury car sponsorship of a golf event. Still other programs speak one-to-one with consumers through customized messaging (*customized marketing*), such as sponsored Facebook ads and Amazon’s product suggestions, both of which are based on personal preferences and previous car purchases and online browsing activity. Other promotional programs are designed to maximize conversations between consumers (*consumer-to-consumer marketing* or *C2C*); here, the company seeds a message, hoping that consumers will carry it widely to others in their social network. For example, Volkswagen’s classic “Punch Dub” campaign encouraged consumers to playfully punch each other on the arm every time they saw a Volkswagen Beetle on the street. Another common way to seed consumer conversations is to offer popular car bloggers advance test drives and free merchandise with the hope (or agreement) that they will mention it favorably.

Today’s consumers are interactive and participatory in marketing communications. They both co-create and disseminate marketing messages authored by them and by the company. They regularly provide online assessments of products and services, telling stories about their own consumer experience in chat rooms and other social media and creating consumer-generated advertising or brand parody videos that they disseminate via the internet. Brands like Doritos, with its “Crash the Super Bowl” campaign—which gave consumers a chance to make and submit a Doritos ad—took full advantage

of this trend; winning ads were aired during the Super Bowl and shared over social networks.

In defining the audience for marketing communications, managers must also consider the characteristics of that audience: whether it is passive or participatory. Many marketing communications programs are designed to be one-way and monological, or *unidirectional*: from firm to consumers. The company sends a prepackaged message, which it completely controls, to consumers, which they can receive only passively. A consumer's typical daily routine is frequently interrupted by unidirectional marketing communications. For example, she drives past advertising billboards on the way to work; in the supermarket, she sees a screen of electronic advertising at the checkout line; and as she checks Facebook messages, she is bombarded with sponsored posts.

Other marketing communications programs are designed to be two-way and dialogical, or *bidirectional*; they provide a forum that allows for consumer response involving a give-and-take conversation between the firm and a consumer, and they expect consumer participation. In bidirectional communication, consumers play an active role, taking part in and shaping the conversation. For example, in many complex business-to-business (B2B) equipment sales, customers require detailed and specific technical information. Knowing this, companies such as Dell have created online consumer communities, where customers can ask questions, have them answered by company experts, or help each other with their specific business challenges. Dell offered its customers a highly educated and consultative sales staff, creating a bidirectional communication opportunity.

Still other programs are *multidirectional*, where the firm communicates with consumers, who then communicate with each other. Consumer-to-consumer communications involve a higher level of participation from the audience; in fact, "audience" becomes a misnomer, given the level of interaction and control that consumers have over the message. The audience moves from being the consumer of the communication to its coproducer, its most active role. Many types of digital marketing, including social media marketing, are designed to facilitate this type of communication. Consider the ALS Ice Bucket Challenge, a marketing communications program to raise awareness of and funding for a cure for amyotrophic lateral sclerosis (ALS), a progressive neurodegenerative disease that affects nerve cells in the brain and the spinal cord. The ALS Association was one beneficiary of an online challenge gone viral, and then launched its own official ALS Ice Bucket Challenge after the summer of 2014 in the hopes that supporters would spread the message further.³ And 2.4 million people did just that, filming themselves dumping buckets of ice-cold water over their heads and posting the videos to social media platforms. Many people included a description of the disease for the people in their networks, as well as a call to action to donate to the

ALS Association, raising both awareness and funds. From 2014 to 2019, more than \$115 million was raised through this campaign.⁴

As marketers work to define their audience, there's yet another characteristic they must consider: the processing style that consumers are likely to use as they encounter marketing communications. For more on this topic, see the sidebar "Central versus Peripheral Processors."

Central versus Peripheral Processors

The psychologist Daniel Kahneman expounds on two modes of thinking in the way people process communications: System 1, in which our brains operate "automatically and quickly, with little or no effort and no sense of voluntary control," and System 2, in which we consciously "allocate attention to the effortful mental activities that demand it."⁵

Characteristics of the target audience help determine whether it will passively view the marketing communication using System 1 thinking or cognitively engage with it using System 2 thinking.⁶ Some consumers are more motivated and better able to actively engage with marketing communications, reflecting, interpreting, and assessing the information being presented in a careful, thoughtful manner. These consumers often are more highly involved in the product category, find it personally relevant, or have a higher level of knowledge about it. They also have the intellectual horsepower, both in general and at that particular moment, to focus and engage. Others do not, owing to either low motivation levels or deficiencies in cognitive ability, which leaves them to process marketing communications with System 1 thinking. Characteristics of the marketing communication also help determine whether consumers process it in System 1 or System 2 mode. Some messages are designed to engage consumers in conscious thought by offering them sophisticated information and arguments to support their purchase, while others lull consumers into System 1 thinking through images, sounds, characters, or stories that trigger more automatic processing.

The *elaboration likelihood model* (ELM) helps explain how consumers differentially process and respond to persuasive messages and the effects these different processing paths have on their attitudes.⁷ A higher level of cognitive engagement, System 2 thinking or "elaboration," triggers a *central route to persuasion* in which consumers invest a high level of cognitive effort to process the message. Whether they are persuaded depends on their assessment of the merits of the communication's arguments.

The *peripheral route to persuasion* is the path taken by consumers who do not actively engage with the message. Rather than expend the resources necessary to comprehend, contemplate, and deliberate on the message, these consumers take a shortcut. They

rely on peripheral cues, such as the attractiveness of the spokesperson or the tempo of the music, to help them form an attitude in response to the marketing communication.

These attitudes, formed quickly and without a lot of thought using System 1 processing, were perceived by Petty and Cacioppo as less enduring than those formed through active elaboration.⁸

Other research, however, demonstrates that marketing communications can work quite effectively even when consumers don't pay any conscious attention to them and even when they cannot even recollect having been exposed to them.⁹ Stories designed to evoke consumers' emotions, in particular, encourage low-attention processing yet, despite this, are incredibly powerful at changing attitudes.¹⁰ Kahneman labels the outputs of System 1 processing as impressions, intuitions, intentions, impulses, and feelings, all of which can affect choice, even in the absence of System 2 thought, and which often precede and influence effortful processing.¹¹ Today's digital landscape is filled with marketing communications that elicit System 1 processing. Advertising that pops up on websites (banner ads), in search results (search advertising), and within consumers' personal Facebook, Twitter, Instagram, and Snapchat feeds sometimes leads to active processing whereby consumers click on the ad to learn more, but more often leaves only an impression that consumers may not even be aware of.

Push versus Pull Marketing Communications

Another choice that marketers face when setting marketing communications strategy is whether they are going to address an audience that consists of end consumers or distribution channel partners that pave the way to purchase. **Push strategies** are designed to motivate distribution channel partners or intermediaries to sell the product to consumers and thus target the sellers of a product (e.g., retailers, wholesalers, or distributors) as the audience. For example, companies pay their retailer partners trade promotion fees to push their products to consumers by placing them in prominent locations on store shelves, featuring them in end-aisle displays, or encouraging salespeople to feature them when talking with customers. This *pushes* the product down through the distribution channel from the top. **Pull strategies** are designed to build demand with end consumers so that their desire for the product brings them to the point of sale. Pull strategies thus target the users of the product as the audience. For example, a company uses advertising to attract the attention and interest of customers to a new product. The customers then go to their local retailer and request it. This, in turn, causes retailers to request the product from the manufacturer, *pulling* it through the distribution channel from the bottom up. Many companies pursue a hybrid promotion strategy that contains both push and pull tactics.

After the marketer has defined the strategic intent of the communications program—its mission and market—the company must move to the strategic execution stage of developing a marketing communications plan (refer to Exhibit 1), choosing the content of the message and the media channels for delivering it. We turn to these factors next.

2.3 Strategic Execution: Message and Media

Managers must decide whether to develop a communications plan that includes customized stories reflecting the idiosyncrasies and culture of a particular media environment or instead to offer consumers one narrative through an integrated marketing communications plan that presents a unified story and visual presentation in all the promotional elements. The advantage of crafting an integrated marketing communications plan is that it delivers coordinated and complementary messages across all consumer touchpoints.

We will begin by looking at the message: What is the story that the brand wants to tell, and what is the best way to craft that story so that it resonates with consumers?

Message: Translating Strategy into Story

Marketing communications stories flow from the brand's value proposition or positioning statement. The *brand positioning statement* is a strategic document that communicates the unique value the brand offers to a particular target market segment. Positioning statements distill the brand's value proposition into a compelling answer to consumers' all-important question, "Why should I buy?" (For more information on how the positioning statement is developed, see *Core Reading: Brand Positioning* [HBP No. 8197].)

Effective marketing communications translate the positioning statement into a compelling story line. Marketers often hire professional storytellers—people who understand how to convey ideas through narratives and visual imagery—to help with this task. Advertising and marketing communications agencies are filled with talented creative directors, copywriters, graphic designers, digital designers, art directors, photographers, and film producers who help translate marketing strategy into good stories.

What Makes a Good Story?

Marketing stories are told in many different ways. Some are conveyed in purely visual terms, while others rely heavily on text. Some use still photography, others

use moving pictures. The stories can be silent or can consist only of sound. They can be heavily scripted or delivered in an improvisational manner. Some tell a simple story (e.g., “New and Improved”). Others weave complex narratives that bring meaning to consumers’ lives; Levi’s now-classic “Go Forth” campaign combined Walt Whitman’s optimistic poetry about the potential of America with black-and-white images of millennials representing modern-day pioneers. Some stories deliver useful information to help consumers choose between options, while others merely entertain. And then there are stories that can be interpreted in seconds, while others take deep thought and careful analysis to understand.

Good storytelling delivers meaning to an audience in a memorable and evocative way. Marketing communications often borrow the narrative structures of traditional storytelling and use them to tell the story of a product, service, or brand. Stories contain four classic elements that provide them with their narrative structure: a message, a conflict, characters, and a plot. With the advent of the internet, a meme has become a fifth element of marketing storytelling as well.

The Message: A strong takeaway or moral lesson often defines the stories audiences find most memorable. In marketing communications, this is a function often carried by the *tagline* or headline, which encapsulates the main message of the positioning statement in consumer-friendly language. American Express’s “Don’t Leave Home Without It” is an iconic example, warning consumers of the dangers of being caught without the safety net of a credit card while traveling.

Managers must decide whether to explicitly communicate the moral of the story or whether to craft the communication in such a way that consumers derive the moral on their own through active processing and engagement with the message. If the viewers are expected to cognitively elaborate as they view the ad, then allowing them to draw their own conclusions about the message makes it more memorable and effective and increases the persuasiveness of the communication. Apple’s “Get a Mac” campaign humorously compared Apple’s Mac computer to its competitors through the use of two characters, Mac and PC, who embodied the features of each product. Throughout the campaign, viewers were not directly instructed to choose Apple’s product; rather, they were left to decide for themselves which character they would rather emulate—the hipster, creative Mac or the aging, corporate PC. On the other hand, in cases where the audience is expected to passively consume the ad, explicitly stating the key takeaway so that it is not missed is often a more effective strategy.

The Conflict: Conflict is often the driving force in good stories; it provides energy, forward movement, and a desire for action to resolve it. Memorable stories often contain battles between good and evil, apparently insurmountable difficulties for protagonists to overcome, underdogs battling top dogs, or new

ideas toppling old paradigms. For example, Taco Bell used a classic storytelling template in its 2015 “Routine Republic” television advertisement for a new breakfast sandwich. In the ad (see **Video 1**), consumers craving to be different rebelled against a despotic regime run by demonic clowns who brainwashed the populace into eating only round breakfast sandwiches that resembled McDonald’s Egg McMuffin. By refusing to conform, consumers escaped the tyranny and monotony of the state-controlled diet to embrace Taco Bell’s six-sided breakfast sandwich.



VIDEO 1 Taco Bell “Routine Republic” Advertisement



Scan this QR code, click the icon, or use the link to access the video: bit.ly/hbsp2fu8Wtv.

Source: Reproduced with permission of Taco Bell Corp.

The Characters: Identifiable and unforgettable characters often populate our favorite stories. Archetypal characters such as the hero, the villain, the damsel in distress, the rebel, the trickster, the wise old man, and the change master inhabit marketing stories and carry instantly recognizable symbolic meaning from other stories consumers have encountered in their lives. Consumers are often presented as the heroes of the story; sometimes the product itself becomes the hero as it provides the solution to the conflict.

One of the central characters in any marketing communication is the brand itself. Whether the brand will play a leading or supporting role is an important choice. Marketers can make the brand a more central versus peripheral part by increasing its prominence in the story, by making it physically larger (in static print media) or by showing it more frequently or for longer periods (in dynamic media). A prominent brand presence increases consumers’ perceptions of a hard sell and may prompt them to tune out.¹² A less prominent brand presence is experienced as more of a soft sell and is often conducive to engaging consumers with the story.

Characters who are like us—or who represent the types of people we aspire to be—grab our attention and elicit our empathy. Managers often populate marketing communications with celebrities or other attractive people whom consumers admire to increase the audience’s identification and affiliation with them. The marketing communications relating to a brand may also include characters with expertise or authority, such as dentists who endorse toothpaste or corporate leaders who support B2B products. Finally, characters are chosen for their credibility. Audiences will not be persuaded unless they believe that brand spokespeople are authentic and speak the truth.

The Plot: Good stories are dynamic and progress along an evolutionary path. Often a well-orchestrated plot draws the audience in with an exciting opening that

sets the scene, then introduces tension that increases engagement and commitment, develops characters to engage the audience emotionally with the story, and finally provides a release of tension that soothes and delights.

An alternative plotline interjects an emotional hook right up front. Keeping viewers involved in an ad depends in large part on the elicitation of two emotions: joy and surprise. Stories that induce one of these two emotions in their opening moments tend to be “stickier” (advertising slang for “more memorable”) than those that do not.¹³

Moreover, research shows that the flow and pacing of the plot matters. The opening and the closing moments of an advertisement are usually the most memorable. Often marketers choose to insert a brand exposure during these two periods. This can be effective, but only when consumers cannot avoid watching commercials. Early and late brand exposure, as well as more frequent and longer exposures to the brand over the course of the ad, improves comprehension, memory, and persuasion.¹⁴ When consumers have the opportunity to tune out, however, inserting brand exposures for sustained periods of time within an ad increases the likelihood that consumers will stop watching it. Pulsing the brand exposures throughout the ad—that is, showing the brand more frequently but for shorter durations each time—is more effective at engaging these consumers.¹⁵

Needless to say, ads that feature entertaining plots capture consumers’ attention and maintain their visual interest. But although entertainment increases an ad’s persuasiveness, it works only up to a point. Consumers often remember the plot of an entertaining ad but fail to remember the brand that was featured. The flow of the plot matters here as well: when the entertaining part of an ad appears before the consumer is made aware of the brand, purchase intent drops; however, when the entertainment appears after the consumer has been exposed to the brand, purchase interest tends to increase.¹⁶

The Meme: The digital arena has given rise to another type of story element—the meme—that rapidly diffuses through a culture by sparking consumer-to-consumer co-creation activity and sharing. A *meme* is a concept, tagline, hashtag, image, video, or activity that hits a cultural nerve, causing it to go viral, spreading quickly and widely across the internet. Memes can instantly capture consumers’ attention, encourage them to reimagine a story through the lens of their own experiences, and prompt them to share it with others so that they can be part of a cultural conversation. Consumers often use marketer-created materials as memes; the longtime California Milk Processor Board’s “Got Milk?” slogan and MasterCard’s “Priceless” campaign are memes that have prompted many consumer-created improvisations. Many—indeed, most—memes do not originate in marketing departments (consider the meme featuring Kermit the Frog sipping Lipton Tea). However, brands can ride on the coattails of popular

memes by quickly incorporating them into their marketing communications. For example, Wonderful Pistachios has used memes, from an ornery honey badger to Keyboard Cat and Ernie the Elephant, to peddle its products, and Sprint created an ad acknowledging that uploading and viewing silly cat videos is a primary use of its wireless network.

Creative Appeals

Marketers use different types of storytelling appeals to communicate with consumers. Some marketing communications use *rational* approaches, appealing to our head with logical arguments and proof points to address the “think” part of the purchase-decision process. Others rely on *emotional* approaches, appealing to our heart to prompt a “feel” response. Many brands use a combination of these in their marketing communications.

Rational appeals are fairly straightforward—for example, an ad might try to persuade with scientific and technical evidence from authoritative voices and field tests or with testimonials from celebrities or everyday consumers who use the product regularly. Some rational ads take the form of impartial comparisons, where consumers are asked to compare the taste or performance of two competitive products; others show consumers who are skeptical about a product’s value being persuaded by sampling the product in the moment.

Emotional appeals, on the other hand, play to our feelings to evoke a visceral rather than cognitive response. They can arouse positive or negative feelings, using humor, fear, and sex to incite and engage consumers.

Humor Appeals: Humorous marketing communications are often the most attention-grabbing and likeable.¹⁷ Humor can reduce consumers’ resistance by putting them in a good mood,¹⁸ and much research has shown that the use of humor increases purchase intent more than other types of creative appeals.¹⁹ However, if audiences find the humor to be inappropriate, they respond negatively. Humorous ads also wear out their appeal quickly, since consumers often don’t want to hear the same joke multiple times. Finally, humor can distract consumers’ attention from the product, so that they remember the joke but not the joke teller.²⁰

Fear Appeals: Fear appeals play to one of our most instinctual behaviors as humans—our fight-or-flight response. Marketing communications that use fear appeals play off the very human desire to avoid physical or psychological pain and distress. Fear can be a strong motivator, and its use in advertising has proven to increase persuasion.²¹ Evoking low levels of fear can increase the audience’s attention to the message and serve as a compelling call to action to use the product. Evoking high levels of fear, however, can be too distressing for viewers,

causing them to tune out or actively work to erase the message from their consciousness.²² (See the sidebar “Fear’s Boomerang Effect.”)

Fear’s Boomerang Effect

In an effort to reduce the incidence of smoking, regulators in Canada, the United Kingdom, and Brazil mandated that cigarette packaging feature warning graphics, showing horrific images of the ill effects of smoking, such as diseased lungs, corroded gums, and dead bodies. The efforts to feature these images prominently on the product’s packaging continue, and in Brazil, for example, 100% of the largest side of any given cigarette package was covered by the graphic warnings.

Nevertheless, researchers were surprised to discover that the photographs had little effect on the 11- to 16-year-old smokers in their study and proved to be no better a deterrent than the written warnings they replaced.²³ Other researchers uncovered an even more disturbing finding as they studied the effect of using alarming images and threatening messages in antismoking public service announcements (PSAs). These tactics had a “boomerang effect.” Viewers disengaged from processing the messages, which diminished their emotional responses to them.

The combination of graphic images and frightening messaging seemed to be too much for consumers to handle and caused them to erect mental defenses to protect themselves. Said the study author, “Simply trying to encourage smokers to quit by exposing them to combined threatening and disgusting visual images is not an effective way to change attitudes and behavior. . . . That kind of communication will usually result in a defensive avoidance response where the smoker will try to avoid the disgusting images, not the cigarettes.”²⁴

Sexual Appeals: The old advertising adage “sex sells” is memorable, but it may not accurately portray how consumers respond to *sexual appeals*—marketing communications that use innuendo or sexually explicit imagery and narratives to appeal to an audience’s sexual desires. A more appropriate rule of thumb might be, “Sex sells, under some conditions.” Sexual appeals (for example, a bikini-clad woman sitting on a car hood in an automaker’s advertisement) generate higher recall, more positive attitudes, and higher purchase intent among low-involvement consumers—that is, consumers who are less engaged in the product category. Importantly, among high-involvement consumers, those positive effects are reversed.²⁵ Overall, studies show, sexual appeals are most effective when the product itself is related to sex.²⁶ A gratuitous use of sexual appeals for unrelated product categories often backfires. Sexual appeals also run the risk of being

labeled sexist rather than sexy, which decreases purchase interest and injures the brand's image.²⁷

To develop the marketing communications message, the marketer has to consider the story and the type of appeal that will capture the attention of the intended audience. Once this work is done, managers can then turn to deciding on the media through which the message will be delivered.

Media: Navigating the Storytelling Arena

Decisions made about media define where, when, and how the message will be delivered. Consumers encounter and respond to marketing communications in two different ways: either they are passively exposed to ads and promotions or they actively seek them out. This difference forms the basis for separating communication strategies into inbound and outbound marketing.

Outbound marketing is communication between a firm and consumer that is initiated by the firm, whereas *inbound marketing* is communication initiated by a consumer. With outbound marketing, companies pay content or space providers for advertising placement that delivers their stories to a captive audience; providers are, generally, television or radio programmers, magazine or newspaper publishers, websites, or social media channels.

In inbound marketing, on the other hand, the firm sets out to make itself available to consumers when they are ready to talk. It includes a set of marketing strategies and techniques focused on creating content that functions as a magnet, pulling relevant prospects toward a business and its products as they are actively searching for information during their decision-making process. Particularly in the digital age, inbound marketers publish and provide content that offers their potential audiences tools and resources, then use retail placement, search engine optimization, and search engine marketing to attract people to that content. If the content is useful and valuable to those making a purchase decision, it helps the company attract and earn the attention of these prospective customers. For more information on these tactics, see *Core Reading: Digital Marketing* (HBP No. 8224).

In today's marketplace, there are numerous outbound and inbound channels by which marketers can deliver marketing communications to consumers. The media decisions in the 6M model focus on choosing *where* and *how* brand messages will be told.

Getting Attention in a Crowded Field

Historically, brand messages were designed for and communicated to consumers through outbound mass media vehicles such as television and radio. This strategy

is less effective today because of the fragmentation of mass media, the proliferation of alternative ways to reach consumers, the increasing skepticism with which consumers receive marketers' messages, and the growing desire of consumers to co-create the meaning of the brands that shape their lives. Marketers therefore have been forced to reconsider the channels through which they communicate their brand stories.²⁸

It's no surprise that getting consumers' attention in today's crowded media market is becoming more difficult. Brand stories have found their way into every nook and cranny of daily life. Consumers are besieged with thousands of marketing communications messages each day, which makes it difficult for marketers to break through the clutter. In the United States, television advertising clutter has reached historic proportions; as much as 28% of every hour in prime time is devoted to advertising.²⁹ That doesn't include commercial messages embedded in the programming itself. For example, characters in a television show can be shown using a specific product, such as an iPhone, and companies pay handsomely for such product placement.³⁰ Bob Barocci, a past president and chief executive officer of the Advertising Research Foundation, an advertising industry advocacy group, highlighted the effect of such advertising "clutter" on consumers' advertising recall: "At the end of the day, the ability of the average consumer to even remember advertising 24 hours later is at the lowest level in the history of our business."³¹ According to one study, consumers remember only 1% to 3% of the advertising to which they are exposed.³²

This increase in clutter is contributing to another trend: consumers are increasingly tuning out or opting out of receiving marketers' messages. In fact, an estimated 73% of US households are capable of avoiding commercials because they have a digital video recorder, access to video-on-demand, or a subscription to Netflix or other services that deliver movies and television shows streaming directly to their screens or devices.³³ New commercial-free media outlets, such as satellite radio, are also attractive to consumers wishing to escape the advertising deluge. Activists fighting to increase consumers' control over their exposure to marketing communications have led to industry and governmental policies and mechanisms such as the National Do Not Call Registry, www.catalogchoice.org, and email opt-in and opt-out best practices that allow consumers to dictate when marketers are allowed to reach them by phone, direct mail, or email. Turning off cookies, opting out of sharing personal digital information, and using pop-up-ad blockers, spam filters, or caller identification all help consumers avoid digital advertising and telemarketing. Increasingly, consumers have more controls when trying to avoid interruptions from marketing communications. This makes the marketing manager's choice of which media to use more challenging.

Another challenge in selecting media channels is the rapid change in the audience's media consumption choices and habits. Not since the introduction of

television in the 1930s have marketers experienced such radical shifts in media consumption patterns. With the rapid spread of technologies such as the personal computer, smartphones, and tablets, and the explosive propagation of new media outlets, consumers are largely ignoring traditional media such as television, magazines, newspapers, and radio and tuning in to new media options. Television audiences have been declining, and industry developments, such as the proliferation of cable and syndicated channels, are further fragmenting television audiences into smaller slices. Newspapers and magazines are losing readers to online content providers, while radio stations struggle to maintain listeners as consumers switch to listening to music downloaded to their smartphones or paying for commercial-free versions of online music applications such as Spotify and Apple Music. Even websites are feeling the shift as users move to mobile browsing. As they did when television disrupted traditional advertising, marketers must find new ways to reach their target audiences. They have begun to shift their media spending out of offline media and into online media outlets to reflect the changing conditions, and from online media to mobile media as more consumers are shopping and searching for information on their smartphones.

Types of Media

Media can be classified in several different ways. First, it can be classified by the extent to which the marketing message is varied to meet the particular communication needs of the person receiving it. **Mass media**, such as television advertising, is viewed by a mass audience, and no customization of message is possible. But **addressable media**, such as personal selling, allows marketers to fully customize their pitch to the particular needs of an individual customer.

Second, media can be classified by whether it enables *synchronous communication*, when both parties participate at the same time, or *asynchronous communication*, when both parties participate but at different times. For example, the conversation between a store clerk and a customer standing in the aisle of a retail store is synchronous, whereas the communication between a firm and a customer it reaches through direct mail is asynchronous because the customer's response is delayed.

Third, media can be classified by whether it is firm-controlled, other-controlled, or consumer-controlled. *Firm-controlled media* includes a company's website, its social media channels, its company-owned retail stores, and its catalogs. These elements are often referred to as **owned media**. Firm-controlled media also includes **paid media** such as television, print, radio, outdoor, or online advertising in which the company maintains complete control of message content and delivery by contracting for specific media placement and providing the creative execution of the message. *Other-controlled media* includes media provided by

important cultural gatekeepers, such as writers who feature a company's products in magazine or newspaper articles, or producers who feature a company's products in television or movie programming. *Consumer-controlled media* includes consumer blogs, rating sites, social media feeds, or online communities. In other- and consumer-controlled media, the firm relinquishes power over its message and its placement, relying on others to tell its story when and where they want to. Other-controlled and consumer-controlled media are often referred to as **earned media**; they are not purchased, but literally earned through public relations outreach to the press, social media outreach and viral campaigns, and event marketing.

Managers can choose from many different types of media vehicles: advertising, direct marketing, sales promotion, personal selling, public relations, event marketing and sponsorships, and social media. We will look at these in more detail.

Advertising: Advertising refers to the paid placement of non-personalized messages by an identified sponsor intended to inform and persuade people about a product or service. Total advertising spending worldwide is estimated to be more than \$600 billion annually.³⁴ Usually, advertising is delivered to consumers as an interruption of their media consumption; for example, television advertising interrupts the flow of a television show, radio advertising interrupts the flow of music, print advertising is interspersed in between editorial content in magazines and newspapers, and online advertising delays or interrupts the viewing of a YouTube video. Moreover, consumers' *organic* search results (unsponsored by companies) on Google are interrupted by advertisers who pay for top search-results positions and take over the top and side of the consumers' computer screens.

Direct Marketing: Unlike advertising, in which the firm speaks with one voice to a mass audience, direct marketing allows for customized marketing communications delivered directly to consumers. *Direct marketing* comprises unmediated appeals to customers that encourage and elicit an immediate or quick response. Direct marketing tactics include email marketing, direct mail campaigns, telemarketing outreach, catalog drops, direct-response television advertising, or online click-through banner advertising.

Experts predicted that direct marketing would diminish with the growth of the internet and e-commerce. In fact, technological advances have allowed direct marketing to become more focused. The rise of *big data*—the analysis of data from sophisticated databases that contain detailed lists of prospective customers and their personal characteristics—has increased the use of direct marketing. Companies continuously mine the big data lists, testing variations of customized messages and delivery methods on different consumer segments to assess which

configurations elicit the strongest customer response. Today's direct marketing is also used to nurture and manage ongoing relationships with customers. Some examples include special offers for customers who hold retail store credit cards and members of frequent buying clubs and other types of rewards programs.

Sales Promotion: Sometimes consumers need an extra push to make a purchase, and that nudge often comes through sales promotion. *Sales promotion* includes a host of activities, such as in-store or on-shelf messaging, prominent displays in stores or on websites, and special inducements such as coupons for first-time buyers. All these are intended to influence consumer behavior at or near the point of purchase. A 2017 study of leading consumer product brands showed that sales promotion (including consumer promotion, trade promotion, and shopper marketing programs) accounted for 68% of leading consumer product brands' *marketing budgets*.³⁵

Several trends have contributed to the growth in sales promotions. Today's consumers have grown up in a discount-oriented retail environment, where frequent storewide sales have become the norm. This has placed downward pressure on retailers' margins, leaving them razor thin. In response, retailers are exerting pressure on the manufacturers of the goods that they sell to assume some of the costs of promoting their products in-store. The manufacturers, in turn, offer a host of *trade promotion* programs—money provided to retailers and other distribution channel partners in exchange for special services. Trade promotions include slotting fees (paid to retailers for the privilege of hosting a new product on their shelves), display allowances (paid to retailers for prominent placement on displays at the end of aisles or at the checkout counter), cooperative advertising (paid to retailers to help fund the weekly or monthly circulars that advertise in-store specials), and temporary price reduction allowances (to allow retailers to lower the price of products for their weekly sales or shopper-card discount programs). Such trade promotions are important, especially given that about half of purchase decisions are made in store, and that most purchases completed at brick-and-mortar stores start with in-store research.³⁶

Consumer sales promotions are also important because they can be the deciding factor in the purchase decision. Consumer sales promotions include short-term inducements (coupons, rebates, free samples, frequent buyer or volume discounts, or free gifts with purchase) that help reduce the cost of a purchase and encourage consumers to try a product for the first time, to repurchase, or to stock up on the product. Reassurances such as warranties, guarantees, and price protection programs help reduce the risk of a purchase for consumers. In-store demonstrations, contests, and sweepstakes grab consumers' attention. Interactive product displays that encourage consumers to touch the product, shelf-talkers (printed cards or other signs attached to a store shelf to call buyers'

attention to a displayed product), floor signage that draws consumers' eyes to a particular product, and end-aisle displays all spur purchases.

Personal Selling: While sales-promotion programs can induce consumers to buy at the point of purchase, consumers sometimes need more customized assistance while selecting a product or service. This often comes from a salesperson engaged in personal selling, from whom customers can seek advice.

These specialized salespeople actively promote the products of one particular manufacturer and serve as experts to answer consumers' questions. They help diagnose consumers' problems and actively customize product or service solutions for them. They can either serve as order takers or actively *cross-sell* or *upsell* consumers (promoting additional or more expensive items) to increase their purchase size. They can serve customers who are already at the point of purchase or they can prospect for new customers by seeking them out and approaching them, as perfume-spritzing salespeople do in department stores.

Public Relations: When companies are ready to release information about their products, services, and firm activities to the press and the greater public, they turn to public relations (PR) professionals. *Public relations* activities include the production and dissemination of a special type of marketing communication designed to influence the influencers, or people who have the cultural capital to spread the word about the company's offerings. To encourage word-of-mouth communication, companies distribute press releases to the media and free product samples to celebrities. They also host special events to which they invite influential reporters and bloggers to test new products.

The aim of public relations activities is to achieve earned media, but they also often require marketers to relinquish control over a brand's message once it has been taken up by the influencer. Marketing managers can still influence the message by forging strong, positive relationships with outside influencers. The loss of control is compensated for by an uptick in consumers' perceptions of the credibility of the message when it is delivered by an objective third party, a news source, or word of mouth. Public relations can be used to spur positive conversations about a company's products or services and to mitigate negative buzz and coverage.

Event Marketing and Sponsorships: Companies often associate their brands with entertainment or sporting events or with social causes in an effort to generate earned media and to cement associations between the brands and popular culture. American Express and Mercedes-Benz have sponsored Professional Golf Association tournaments to create this connection, and big firms have purchased naming rights to stadiums for the same reason. Some companies create events that bring them closer to their customers.

Sponsorships can help enhance a company's reputation as a responsible, thoughtful member of the community and can work to engage consumers' desire to form a relationship with it. This is explicit in many firms' sponsorship segments on National Public Radio.

Social Media: Rather than talking *at* consumers, social media offers companies an opportunity to talk *with* consumers. Two-way communication between the company and its consumers is encouraged on social media platforms such as Facebook, Twitter, Instagram, Snapchat, Pinterest, and YouTube and in online brand communities.

We now turn to the third and final stage of the marketing communications framework shown in Exhibit 1. This is the strategic impact stage, and its components are money and measurement.

2.4 Strategic Impact: Money and Measurement

How much money will managers spend to create and execute a particular marketing communications plan? How will managers assess the impact of the communications? Strategic budgeting and measurement of results are what help managers understand the strategic impact of a marketing communications plan. We begin with a look at money.

Money: Budgeting for Marketing Communications

One of the critical decisions to be made in a marketing communications strategy is how much to spend. Some firms set their marketing communications budgets by default, basing them on how much money they believe they have available, given their revenue projections and other expenses. They then take this amount of money as a given and decide what can be done with it, in what is termed a top-down budgeting approach. This method is captured in a prevalent budgeting strategy that uses an *advertising-to-sales ratio* benchmark.

There are several problems with this approach. First, advertising-to-sales ratios vary dramatically across different product and service categories, as **Exhibit 5** shows. It is difficult to know what the correct advertising-to-sales ratio should be without analyzing customers, competitors, and other aspects of the internal and external context.

EXHIBIT 5 Advertising-to-Sales Ratios by Industry Sector (2019)

Industry Sector	Ad-to-Sales Ratio (%)	Ad Growth (%)	Sales Growth (%)
Natural resources and materials	0.6	4.0	8.2
Oil, gas, and chemicals	0.4	8.7	14.0
Consumer products	6.3	6.2	4.6
Health care	3.5	4.8	5.2
Retail	1.6	8.0	6.5
Financial services	1.8	10.1	7.9
Electronics and scientific instruments	1.0	7.2	10.1
Computers and software	3.9	11.4	9.0
Industrial equipment and furnishings	1.3	6.1	7.8
Transportation and travel	2.4	9.2	6.2
Services except health care	2.3	8.0	8.0
Construction and real estate	2.1	3.7	9.9
Communication products and services	3.0	2.8	4.7
Wholesale	0.6	8.2	5.6
All sectors combined	2.2	6.8	7.8

Source: Schonfeld & Associates, "2019 Advertising to Sales Ratios by Industry Sector," June 2019, www.saibooks.com/advertising-sales-ratios.

The second problem with this approach is that revenue projections made without consideration of marketing support are often untenable. Marketing communications drive sales, so forecasting sales without the benefit of understanding the amount of money that will be spent on promotion is difficult. And the relationship between marketing communications and sales is complicated. Firms with increasing revenues may find that they can be more efficient with their marketing communications as their business grows larger, which allows them to lower their advertising-to-sales ratio. Firms with weak revenues may want to increase their marketing communications budget to try to reverse the decline, raising their advertising-to-sales ratio in bad times.

Other firms set their budgets by observing the marketing communications spending of their closest competitors and matching it to avoid being "outshouted"—having their brands go unnoticed amid an excess of advertising from competitors. Or managers aim to achieve a *share of voice*—a brand's marketing communications spending as a percentage of the total such spending in the product category—equal to the company's share of market. Firms looking

to grow sales may strive to achieve a share of voice that is greater than their current market share to reflect an investment beyond competitors'. This approach is often problematic as well. If competitors are not acting strategically in setting their marketing communications budgets, following their lead may be a fool's errand.

A more rational approach to budgeting is a bottom-up process of defining the strategic goals for marketing communications *first*, and then figuring out how much it will cost to achieve them. In the common *objective-and-task method* of allocating funds, the budget is aligned with the jobs that the firm needs the marketing communications to do, making the budget a more realistic estimate of what it will take for the company to achieve its sales goals.

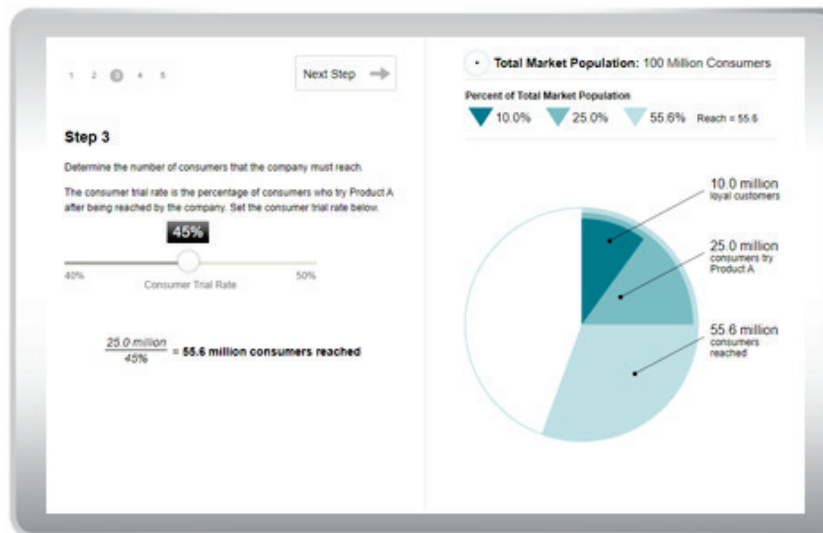
Interactive Illustration 1 illustrates the objective-and-task budgeting method by depicting a company's decision on how much money to spend to advertise its new Product A. The illustration lets you first define the desired market share that the company hopes to achieve. Then the model backs you up through a hierarchy-of-effects funnel to estimate how many consumers the company will have to reach in order for some to try the new product and become loyal customers. This process will allow you to estimate the cost to achieve these goals.



INTERACTIVE ILLUSTRATION 1 Budgeting for Marketing Communications



Scan this QR code, click the image, or use the link to access the interactive illustration: bit.ly/hbsp2pKuTvW.



Note: If the Interactive Illustration is not accessible, please see the PDF explanation of the Interactive [here](#).

A marketer's decision about how much to spend on marketing interacting communications will ultimately depend on the audience, the message, and various media factors:

Audience Accessibility and Desirability: Some target markets are less accessible than others because the audience is simply not connected to media with much frequency or regularity. Other target markets, such as millennial consumers, are simply more desirable to marketers because of their purchasing potential, which drives up the cost of reaching them. In both cases, media that offers access to these markets will be more expensive.

Audience Size and Heterogeneity: It may seem that the larger the audience, the more expensive it would be to reach them, but this is not always the case. The homogeneity or heterogeneity of the audience matters significantly. If the target audience is made up of largely the same kinds of consumers, a single creative campaign and focused media can speak directly to them, lowering creative production and media placement costs. When the target audience is made up of several different kinds of consumer groups, managers will need to use multiple creative campaigns and more diverse media offerings to reach the different types of people, which raises the cost of a campaign.

Audience Receptivity: Receptive audiences are cheaper to reach than audiences who deliberately block out unwanted advertising messages. If an audience is actively seeking information on the product category, the budget required to reach that audience is typically lower. The receptivity of the audience also helps determine how often an ad needs to be shown (its *frequency*) in order to have an impact.

Task Complexity: The job to be accomplished by marketing communications often influences their cost. While it is relatively easy to raise awareness of a new product, it is more difficult to move consumers all the way through the decision journey to purchase. This might require a more expensive, multifaceted, integrated marketing communications plan.

Message Complexity: Some messages are easy to get across. Others are more complex. Complicated messages may require more costly, specialized media (such as personal selling) or longer, more intense media segments (such as a 60-second ad instead of a 15-second ad) to communicate in a way that makes sense to consumers. Complicated messages may also require greater frequency of delivery, whereas simpler messages may resonate with only one or two *impressions* (the number of people reached by an earned media placement).

Message Virality: How rapidly a message is circulated also affects the cost of delivering it. If their interest is piqued, consumers may carry the message to their friends, either in person or through social media, increasing its spread at no cost to the company.

Media Clutter: Competitive spending levels can affect the effort needed to get a message through media clutter. In various types of media, companies are competing not just against the direct competitors in their industry, but also against all advertisers trying to make an impact, which often includes brands with very deep pockets.

Financial versus Human Resources Investment: Novice marketers often perceive digital marketing as inexpensive, or even free. After all, search engine optimization and social media marketing can be done without significant financial investment. But these types of marketing communications programs often require significant human resource investment—someone to write content, someone to continuously monitor consumers' response to it, or someone to analyze reams of big data to determine the right keywords to move the communications up in the search results.

Considering these factors will help assess the cost of implementing a marketing communications plan—the *money* in our model. Starting with the task to be done and considering how difficult that task will be allows us to determine the optimal level of marketing budget.

Measurement: Calculating Return on Investment

Before marketers make expenditures on marketing communications, companies often want to be sure that they will be getting a return on their investment—they want to be confident that the money will be well spent and will lead to incremental profits for the firm. That's why the final M of the 6Ms, *measurement*, is so important. Building mechanisms for measuring and assessing the effects of marketing communications provides critical input about future spending levels, allocation of the budget across programs and media, and the choice of messages.

Marketing Metrics

To measure the effectiveness of marketing communications, managers assess two important elements: (1) the *message delivery*, or how widely and deeply the message has spread, and (2) the *message impact*, or whether and how it influenced consumers' purchase behavior. A marketing manager will use a

number of different metrics to calculate these two parts of the effectiveness equation.

Message delivery is often the easiest to assess. Metrics such as reach, number of impressions, and frequency are used to measure how many consumers received a media message. *Virality* metrics can measure how many consumers passed along a message (or popular image, video, or link) to their friends. **Open rates, click-through rates (CTR)**, time spent on a website, number of direct mail response vehicles returned, and other response metrics can measure both the reach and effectiveness of direct marketing and digital marketing efforts and provide information about engagement.

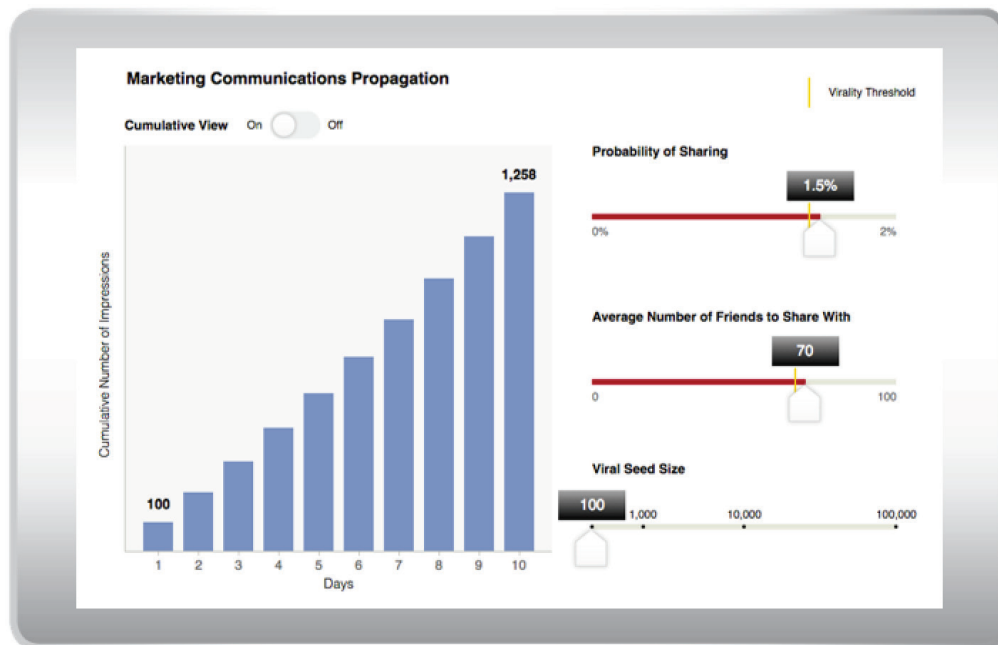
Interactive Illustration 2 provides the example of a YouTube video advertisement. There is some probability that a typical viewer will like it enough to share the ad link with a certain number of friends. Explore the possibilities of this situation by moving the sliders—the probability of sharing, the average number of people to share with, and the initial seed size—to watch how the video goes viral. This approach can also predict the spread and effectiveness of other forms of marketing communications. (For additional discussion on debates about viral marketing, see *Core Reading: Digital Marketing* [HBP No. 8224].)



INTERACTIVE ILLUSTRATION 2 Viral Effect of Marketing



Scan this QR code, click the image, or use the link to access the interactive illustration: bit.ly/hbsp2DY5Yto.



Note: If the Interactive Illustration is not accessible, please see the PDF explanation of the Interactive [here](#).

The second part of the equation—message impact—is more difficult to analyze. There is often a lag time between when a communication is delivered to consumers and when they respond to it by purchasing the product. That is why it is often difficult to predict when and how directly a communications campaign will influence future sales.

Note that a communications program can still be very valuable, even if it does not directly lead to sales in the short term. Successfully implemented, these programs can facilitate the conversion of consumers from unaware to aware of a product, from indifferent to preferring the product to the competition's, or from inactive to advocates. Indeed, measures of brand awareness or knowledge and consumer attitudes, such as brand liking or preference, are often used as leading indicators of eventual purchases. Managers often use interim measures like these as proxies for the impact of marketing communications, measuring changes in brand awareness, for example, to test the effectiveness of the communication. Proxy measures can also be used to assess consumers' engagement with the message. Metrics such as likes, retweets, shares, and comments help managers measure whether consumers are actively engaged with their messages by passing them along or by adding their own thoughts to the marketing conversation. The problem with these measures is that of self-selection: generally, only the few very passionate lovers (or haters) of the brand are motivated to engage in conversations about it. The majority of the market tends to be indifferent, particularly when it concerns mundane products such as soap or engine oil.

Companies often use *copy testing* to assess the potential impact of their marketing communications. During copy tests, consumers are exposed to a message in a simulated or real media environment. Their responses are then captured and analyzed. Responses can be measured through self-reported metrics such as interest level, message recall, message interpretation, and positive response to the communication. Persuasiveness can be measured by comparing pre- and post-viewing purchase interest and other attitude shifts. Physiological measures, such as heart rate, rise in cortisol stress hormone levels, eye tracking, and pupil dilation, can show consumers' emotional responses to marketing communications. Brain scanners can also be used to observe which areas of consumers' brains "light up" (i.e., register an increase in oxygen consumption, which is associated with brain activity) in response to different messages. You can learn more about the uses and results of some of these methods in **Video 2**, in which a researcher describes consumers' brain activity as they viewed the most popular ads from the 2014 Super Bowl. This research links effective advertising with the part of the brain that registers "personal relevance," which establishes an emotional connection that can influence future purchasing behavior.



VIDEO 2 Cracking the Code of Super Bowl Ad Effectiveness



Scan this QR code, click the icon, or use the link to access the video: bit.ly/hbsp2H6DZNr.

Source: Dr. Carl Marci, "Cracking the Code of Super Bowl Ad Effectiveness," Innerscope Research, Inc., July 23, 2014. Reproduced with permission.

Managers can also use message-delivery metrics to evaluate messages as a function of how much they cost to implement. Specifically, metrics such as **cost per thousand impressions (CPM)** can calculate the cost of reaching audiences and help managers compare the cost of different types of marketing communications programs. The *cost per sales call* measures the cost of a salesperson's time, and the **cost per click (CPC)** can calculate the cost of getting a customer to click on an online advertisement. These and other metrics are used in a variety of promotional vehicles to track their effectiveness.

Metrics for Each Promotional Vehicle

In section 2.3, we described various types of promotional vehicles (formats and techniques) used in marketing communications. Now we will look at how managers measure the effectiveness of some of those vehicles. Not surprisingly, different kinds of promotional vehicles yield different results, and they vary in how easily they are tracked.

Advertising

The goal of advertising is to place media in ways that interrupt a large number of people and capture their attention. Advertising is judged by how well it meets several metrics at the lowest possible price.

The media metric that measures the number of people exposed to an advertisement is **reach**. Effective reach is expressed as a percentage that indicates how much of the target market is exposed to the advertisement (e.g., 80% of women and girls aged 12–24). When purchasing advertising, therefore, marketers look for media vehicles that offer high reach at a low cost.

The cost of successfully reaching consumers with marketing communications in many media vehicles has grown in recent years, as demand for audiences' attention has outpaced supply. Since 1997, CPMs for US television advertising have far outpaced inflation; by 2017, CPMs averaged between \$20 and \$45 per 1,000 viewers for 30 seconds of network prime-time advertising, almost double the rates for 2012,³⁷ and more than seven to nine times what it cost in the 1990s.

The quality of the attention garnered from the audience purchased has dropped dramatically, as jaded consumers pay less attention to advertising. The

percentage of ads watched through to the end has decreased dramatically, from 90% in the 1990s to less than 20% by 2014, on average.³⁸ At the same time, US television shows with large audiences still command big prices for a 30-second ad; in 2018, top prices for a 30-second ad included more than \$400,000 for a spot on the drama *This Is Us* and \$285,943 for the sitcom *The Big Bang Theory*.³⁹

Perception and memory theories in psychology suggest that people don't necessarily perceive, pay attention to, or process advertising the first time they are exposed to it, so reach may not be a sufficient measure to assess the likely success of a media campaign. Particularly in a crowded media landscape, consumers may need multiple exposures to an advertisement before they process it thoroughly enough for it to affect their purchase-decision process. Therefore, marketers buy media to achieve a certain level of frequency with their target markets. Frequency measures the average number of times a person in the target market is exposed to the advertisement. If frequency is too low, consumers may not have enough exposure to the marketing campaign for it to make a difference. If frequency is too high, consumers may become annoyed and tune out. For each product, marketing message, and consumer, there is an ideal level of frequency. More complex products, more complicated messages, less involved consumers, and more intricate decision-making processes generally require higher frequency. For example, advertising inserted into consumers' Facebook feeds might require higher frequency than a television ad featured during the Super Bowl because of the differences in attention consumers give to each. Complex products requiring intensive decision-making processes, such as pharmaceutical drugs, might require higher frequency than less complex products such as snack foods, which tend to be bought on impulse.

Marketers use **gross rating points (GRPs)**—that is, reach multiplied by frequency, expressed as a percentage—to track their progress in achieving sufficient reach and frequency against a particular target market in their media plans. (Interactive Illustration 1 applies these concepts.)

Marketers naturally will insert their advertisements into media programming that supports their brand image. For example, fashion brands like to purchase magazine advertising in *Vogue* magazine's August or September issues because they present the new fashion trends and have high-quality editorial content. **Impact** is a metric that measures the qualitative value of the advertisement appearing in a certain media vehicle or in a certain location in a media vehicle—for instance, the back cover of a magazine has higher impact than a page in the middle.

One way that marketers can increase impact is to deliver an ad to a consumer at the right time in the right place. Online, digital advertising can be served up “on demand” with behavioral targeting, delivering an advertising message to

individual consumers that is based on their web-surfing history. In search engine marketing, marketers purchase keyword advertising, which serves up a relevant ad to all consumers who search for the keyword or phrase online. *Retargeting* involves serving up an ad for a product that a consumer had previously viewed, or put into an online shopping cart but abandoned before purchase, in an attempt to finalize the sale. (Again, we encourage readers to see *Core Reading: Digital Marketing* [HBP No. 8224] for more information about digital advertising and the metrics marketers use to assess effectiveness.)

All of which is to say that when marketers buy advertising, they are looking to maximize reach, frequency, image, and impact at the lowest CPM.

Direct Marketing

Direct marketing strategies include email marketing, catalog drops, telemarketing, and direct mail to connect with particular consumers. The relationship between a direct marketing communication and a customer's sales response is easier to track, measure, and analyze than that resulting from traditional advertising. Marketers track *response rates* (how many people respond to the direct marketing program) and *conversion rates* (how many of the people who respond convert to paying customers) as key metrics to determine whether their direct marketing programs are working. They compare these response metrics to the cost of the program, generating *cost per response rates* and *cost per conversion rates* to understand the cost of acquiring a customer.

Sales Promotion

In determining the effectiveness of sales promotions, marketers analyze the *incremental sales lift*, or the sales directly attributable to the promotional program beyond the baseline of sales that would have been expected without it. This lift is then compared to the cost of the program to determine its return on investment. Other, less direct markers of the success of a sales promotion include *redemption rates* and *cost per redemption* (for coupons or rebates), *consumer interactions* (entries for sweepstakes or samples distributed), and in-store or online *customer traffic*.

Personal Selling

The effectiveness of personal selling is generally assessed by comparing the cost of the selling activity to its contribution to the company's financial results. *Acquisition cost* measures how much money the company spends to gain a customer, and *revenue (or profit) per sale* measures the financial gain the company earned as a result. *Close rates* and *conversion rates* measure the

percentage of potential customers, also known as *leads*, who become paying customers after interacting with a salesperson. *Number of calls* or *customer interactions* tracks the activity of an individual salesperson engaged in personal selling.

Public Relations/Event Marketing and Sponsorships

By using public relations techniques (such as press releases), marketers aim to maximize impressions. Similarly, with events and sponsorships, marketers also measure impressions (in this instance, the number of people watching or in attendance), and direct customer interactions (the number of people who visit a sponsor to talk with a salesperson or receive a free product sample or brochure).

Digital Marketing

Marketers often use *A/B testing* to assess the effectiveness of digital marketing—a test in which they run two versions (A and B) of a website, banner ad, or a social media campaign to see which one performs better. Key metrics for tracking digital marketing programs include the following: *acquisition metrics*, such as clickstream data and keyword data, which allow marketers to see where consumers click before and after they view brand content or the search terms that initially brought them to a branded website or application; *audience metrics*, such as unique visitors to the site and page views; *engagement metrics*, such as time spent on the website, bounce rate (i.e., how many visitors enter and then quickly leave a website), number of followers, “likes,” retweets, or comments; and *performance metrics*, such as click-through rate and conversion rate, as already mentioned. Each of these statistics can be compared with the cost of the digital marketing program to yield return on investment metrics, i.e., the cost per click or cost per conversion.

Marketing ROI

Once managers have determined the message delivery and message impact measures, these can then be used to assess *return on investment (ROI)*, also known as *return on marketing investment (ROMI)* or *marketing return on investment (MROI)*, a performance metric that evaluates the efficiency of a firm’s marketing investment. To calculate ROI, the net financial value that the firm receives from the marketing investment is divided by the cost of the marketing program, and the result is expressed as a percentage.

$$\text{ROI} = \frac{(\text{incremental profits gained} - \text{cost of the marketing investment})}{\text{cost of the marketing investment}}$$

Marketing communications programs that deliver a positive ROI contribute more than they cost, while those with a negative ROI cost more to implement than they deliver back to the company. Some companies establish a threshold level for ROI, below which they are hesitant to invest in marketing communications programs.

But marketing communications do more for the company than generate profits in the short term. Over time, effective marketing communications enable companies to build longer-term assets—brand equity and customer equity—that help generate future profits. (For more detail on these kinds of assets, see *Core Reading: Creating Customer Value* [HBP No. 8176] and *Core Reading: Brands and Brand Equity* [HBP No. 8140].) Basic ROI calculations often ignore this longer-term value, undervaluing marketing communications' contribution to the company's financial health. Adding brand health measures to the ROI calculation, such as brand awareness, brand liking, brand knowledge, and brand equity, can help managers better evaluate the longer-term impact of marketing communications. Understanding the financial contributions of customers over their lifetimes, using customer lifetime value (CLV) metrics, can help managers understand not only the initial value contributed by a marketing communication that helps acquire a customer, but also the stream of value that will accrue from that customer over the longer term that can be traced back to the story that initially grabbed the customers' attention.

In conclusion, let us simply remind the reader that even the best products and services don't sell themselves. Marketing communications are critical for attracting consumers' attention, conveying factual information, creating meaning, persuading consumers to buy, reminding consumers to buy and suggesting usage situations, and reassuring consumers of their choices after purchase. These activities are performed at various points along a consumer's decision-making process and provide forward momentum toward purchase by increasing awareness, changing attitudes, and motivating action. These objectives are realized through marketing communications strategies that deliver the right message to the right audience in the right medium at the right time and at the right cost. These messages not only generate short-term sales, but also build long-term brand and customer equity, driving a company's growth today and tomorrow.

3 KEY TERMS

addressable media Media that allows a marketer to customize his or her message to the particular needs of an individual customer.

click-through rate (CTR) *Click-through* is the process of clicking on an online advertisement to bring the consumer to the advertiser's destination. *Click-through rate (CTR)* is the average number of click-throughs per hundred ad impressions, expressed as a percentage. The CTR is a way of measuring the success of an online advertising campaign for a particular website, as well as the effectiveness of an email campaign.

cost per click (CPC) An internet advertising metric that can be defined simply as the amount spent to get an advertisement clicked. Cost per click is used as a billing mechanism in the pay-per-click advertising model.

cost per thousand impressions (CPM) A metric that allows marketers to compare the reach offered by various media vehicles to their costs. CPM measures the financial expenditure needed to reach 1,000 people by means of a particular media vehicle.

earned media Marketing communications that are authored and placed through the efforts of others who are not controlled by the firm. A firm earns this media, rather than purchasing it, through public relations outreach to the press, social media outreach to consumers and viral campaigns, and event marketing.

frequency A metric that measures the average number of times a person in the target market is exposed to an advertisement.

gross rating points (GRPs) Reach multiplied by frequency.

hierarchy of effects A model with six stages (awareness, knowledge, liking, preference, conviction, and purchase) that depicts the process that consumers go through before purchasing a product. The hierarchy of effects is often presented as a funnel.

impact A metric that measures the qualitative value of an advertisement appearing in a certain media vehicle or in a certain location in a media vehicle.

impression The number of people reached by a media placement. Examples include how many people saw a television advertisement, how many people passed by a billboard on the street, and how many people read a news story about a company.

integrated marketing communications (IMC) A planning process that ensures that all brand contacts received by a customer or prospect for a product, service, or organization are consistent over time and across media vehicles. This involves the development of marketing strategies and creative campaigns that weave a common story across multiple media vehicles (e.g., advertising, public relations, sales promotion, and social media).

mass media Media that is viewed by a mass audience where no customization of message is available.

message delivery How widely and deeply a marketing communications message has spread through a population.

message impact Whether and how a marketing communication influenced consumers' purchase behavior.

open rates An indication, usually expressed as a percentage, of how many people viewed or opened a marketing communication.

owned media Media vehicles that are completely under the control of a firm, such as a company's website, social media channels, company-owned retail stores, and catalogs.

paid media Media such as television, print, radio, outdoor, or online advertising through which a company maintains complete control of the content and delivery of its message by contracting for specific media placement and by managing its creative execution of the message.

pull strategies Promotion tactics that are designed to build demand with end consumers so they have a desire for a product that brings them to the point of sale. These tactics pull the product through the distribution channel from the bottom.

push strategies Promotion tactics that are designed to motivate distribution channel partners or intermediaries to sell a product to consumers. These tactics push the product down through the distribution channel from the top.

reach A media metric that measures the number of people exposed to an advertisement.

share of voice A brand's marketing communications spending as a percentage of the total marketing communications spending in the product category.

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